INSIGHT BRIEF · DIGITAL FINANCE · ETHIOPIA

One in five adults in Ethiopia's Findex survey carries a phone but has no account. Most of those phones can't run an app.

The phone is often treated as the bridge to financial inclusion. In the areas the 2024 survey covered, one adult in five has already crossed half of it. This brief looks at who they are, what phone they carry, and why they say they have no account.

Analysis and design: Dawit Sileshi

Data: World Bank Global Findex 2025 microdata · 1,001 adults, Oct–Nov 2024, weighted · excludes Amhara, Tigray, Somali and Harari (~30% of population)

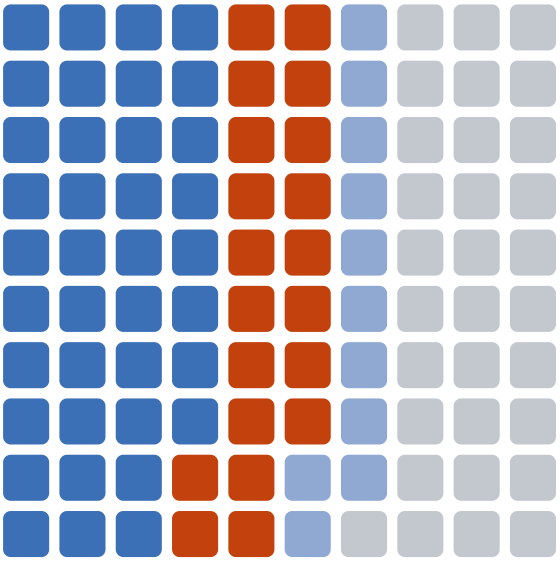
20%
of adults in surveyed areas have a mobile phone but no account at a bank or mobile money provider

84%
of that group carry a basic phone, against 65% of phone owners who have an account

13%
of that group used the internet in the past three months

Of every 100 adults surveyed, 20 are one step away

Phone ownership and account ownership, share of adults (weighted; 1,000 of the 1,001 respondents answered the phone question)



38 Phone and an account

20 **Phone but no account**

11 Account but no phone

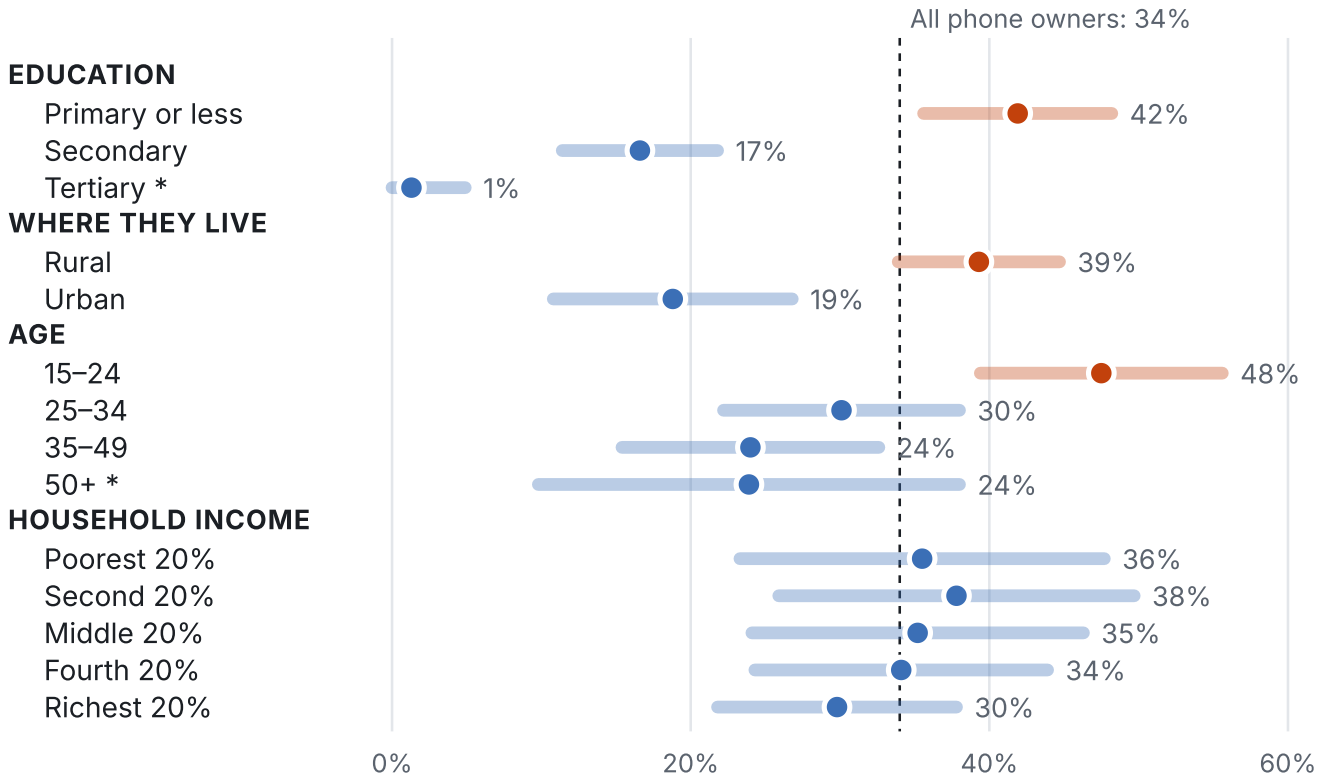
31 Neither

What the data says. In the surveyed areas, 58% of adults own a mobile phone and 49% have an account. The overlap is smaller than those two numbers suggest. Among phone owners, about one in three (34%, ±5 points) has no account of any kind. These 20 in every 100 adults are the closest group to digital finance: the device is already in their pocket.

Why it matters. This group is a different target from the 31% who have neither a phone nor an account. For them, the barrier starts with the device. For the 20%, the device exists and something else is missing. The rest of this brief asks what.

The gap follows schooling, place and age; income shows no clear pattern

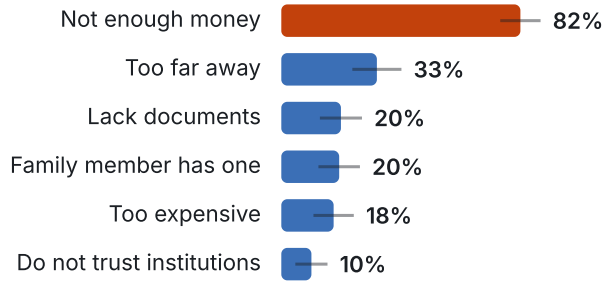
Share of phone owners with no account, by group. Bars show 95% intervals. * fewer than 60 respondents



The no-account rate moves sharply with schooling (42% for primary or less, 17% for secondary), place (39% rural, 19% urban) and age (48% for 15–24). By income it ranges from 30% to 38% with no clear pattern, though small groups (±10 points) can't rule out a gap. The group is mostly rural (86%) with primary schooling or less (87%).

Most say they don't have enough money

Reasons given for no account, phone owners without one (more than one reason allowed, n = 192)



Lines show 95% intervals. For 37%, lack of money was the only reason given.

What to test next

Basic-phone onboarding. With 84% on basic phones and few online, app-only products likely miss this group. USSD menus and agent-assisted sign-up are worth testing; a small onboarding pilot would show whether they work.

The "not enough money" reason. Four in five say they lack money for an account. Interviews would show whether this means fees, minimum balances, or a belief that accounts aren't for small amounts.

Who to reach. Schooling, place and age separate this group more clearly than income does in this sample. Provider data on sign-ups by area would test that.

SOURCES AND CAVEATS

- Source: World Bank, Global Findex Database 2025, individual microdata (doi.org/10.48529/bk9n-8r43). **Coverage:** Ethiopia sample of 1,001 adults aged 15+, interviewed face to face, 15 Oct–29 Nov 2024. The survey excluded Amhara (state of emergency), Harari, Somali and Tigray, about 30% of the population, so figures describe the covered areas, not all of Ethiopia. All figures use the survey weight; the weighted account rate (48.8%) matches the published figure.
- Small sample: the "phone, no account" group has 192 respondents. Intervals are approximate (effective sample size from weights; clustering not modelled), so read them as a lower bound on uncertainty. The tertiary-educated group (49 respondents) is too small to read on its own.
- Education, place, age and income overlap. This brief shows patterns, not causes; separating them needs a model, not cross-tabs. Reasons are self-reported. Age rules or missing ID may explain part of the high rate among 15–24 year olds. The urban figure rests on 160 phone owners. "No account" includes mobile money.
- Context: this complements Shega's September 2026 mobile money diagnostic, which found Ethiopia's inclusion gains mostly bank-led, with wallets often opened as a second account. Full method: see the methods note.